THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO SECONDARY SCHOOL

FORM TWO PRE-NATIONAL EXAMINATION
062 BOOK KEEPING

Time: 2:30 Hours **2025**

Instructions

1. This paper consists of section A, B and C with a total of 9 questions.
2. Answer all questions.
3. Section A carries **fifteen (15)** marks, section B **forty (40)** marks and section C carries **forty-five (45)** marks.
4. All answers must be written in the spaces provided.
5. All communication devices, calculators and any unauthorized materials are not allowed in the examination room.
6. Write your assessment number at the top right corner of every page

FOR ASSESSORS' USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESSORS' INITIALS**
1.		
2.		
3.		
4.		
5.		
6.		
7.		
8.		
9.		
TOTAL		

SECTION A (15 Marks)

Answer **all** questions in this section

1. For each of the items (i) – (x) choose the correct answer from among the given alternatives and write its letter beside the item number in the box provided.

   (i) Given the cost of goods sold as Sh 800,000 and a margin of 20%, what is the percentage of mark-up?
   - A. 16
   - B. 25
   - C. 80
   - D. 50

   (ii) Which of the following accounts are nominal accounts?
   - A. Furniture, Vehicle and cash
   - B. Purchases, sales and Debtors
   - C. Wages, salaries and Capital
   - D. Purchases, sales and wages

   (iii) The business owner took goods from the shop for his son's birthday, what is the accounting entries for this transaction
   - A. Debit Purchases and credit Drawings
   - B. Debit Drawings and credit Purchases
   - C. Debit Drawings and credit Capital
   - D. Debit cash and credit Capital

   (iv) Mr. Seypalm was preparing the trial balance of his business entity, which account would be recorded as credit by Mr. Seypalm?
   - A. Purchases return account and sales account
   - B. Sales return account and sales account
   - C. Capital account and account receivable account
   - D. Drawings account and discount received account

   (v) The returns outward account had not been credited with an amount of Sh 100,000, how can this error be corrected?
   - A. Debit returns outward account, credit suspense account
   - B. Debit returns inward account, credit returns outward account
   - C. Debit Purchases account, credit sales account
   - D. Debit suspense account credit returns outward account

   (vi) How could a sale of non-current asset by cheque affect the statement of financial position?
   - A. By increasing non-current asset and decreasing bank account
   - B. By increasing cash account and decreasing non-current asset
   - C. By increasing bank account and decreasing non-current asset
   - D. By increasing non-current asset and decreasing bank account

   (vii) During the month of June, a petty cashier had an opening cash float of Tsh 60,000. During the month he spent Tsh 45,600; how much should be reimbursed to the cashier at the end of the month?
   - A. Tsh 45,600
   - B. Tsh 14,440
   - C. Tsh 105,600

D. Tsh 60,000

(viii) When preparing books of original entry, which source document is used to prepare sales returns day book?

A. Debit note
B. Pay-in- slip
C. Credit note
D. Delivery note

(ix) Simba sports club had the following transactions: Furniture 100,000, creditors 60,000, 8 years loan 70,000, bank overdraft 20,000, 2 years loan 80,000, Vehicle 300,000. What is the total non-current liabilities?

A. Tsh 230,000
B. Tsh 80,000
C. Tsh 170,000
D. Tsh 150,000

(x) The remaining balance on the credit side of the exchequer account is known as

A. Bank overdraft
B. Consolidated fund
C. Special fund
D. Cash balance

1. For each of the following items (i) to (x), choose the correct answer and write in the table provided.

i. YOHANA sold goods on a cash basis for TZS 5,000,000 allowing a cash discount of 5%. How much will be recorded in the three-column cash book as a discount?

A. TZS 4,750,000 C. TZS 500,000
B. TZS 250,000 D. TZS 5,250,000

ii. SAMWEL wants to start up a business dealing with Sportswear retailing store, but he does not have enough capital to commence his business. The following can be used as sources of capital for a business, except.

A. Money borrowed from external sources C. Account payable
B. Revenue from business operation D. Loan from bank

iii. Which of the following statements is prepared as at a particular date?

A. Income statement C. Cash flows statement
B. Statement of financial position D. Statement of changes in equity

iv. Cash taken from the business by the proprietor for personal use should be debited to.

A. Drawings account C. Cash account
B. Bank account D. Goods account

v. Ms Salma, unexperienced accountant has been given a task to prepare a trial balance. She approaches you to help her to identify item (s) that does not appear in that trial balance. What will be your response?

A. Capital at the beginning C. Opening inventory
B. Closing inventory D. Drawings

vi. Janeth drew a cheque of TZS 2,000,000 on 20/7/2022 to Patricia who presented it at the bank on 23/01/2023, unfortunately the bank refused to cash that cheque. Why was that cheque refused by the bank?

A. It was a stale cheque C. The drawer has died
B. It has wrong figure D. It has wrong amount

vii. A trade operates a free delivery services to customers, the cost of this service is termed as:

A. Carriage inwards cost C. Carriage outward cost
B. Transport cost D. Travelling cost

viii. Posting the transactions in book keeping means

A. Making the first entry of a double entry transaction
B. Entering items in a cash book
C. Making the second entry of a double entry transaction
D. Something other than the above

ix. Prolonged rain in the country caused floods hence destruction of properties and death of people. The government takes immediate action to compensate the victims. In which source the government will take that fund?

A. Exchequer account
B. Consolidated fund
C. Nugatory expenditure
D. Civil contingency fund

x.Goods returned by customers are first recorded in....

A. Sales day book
B. Cash book
C. Purchases day book
D. Return inwards day book

Answer box

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. Match the items in **List A** with the responses in **List B** by writing the letter of the correct response in the answer box provided.

LIST A	LIST B
i. Optimal use of resources to achieve the intended outcome ii. Act of parliament which authorizes government revenue estimates and allow people to be taxed iii. Government account in the central bank. iv. A person appointed by the president and charged with the duty of regulating funding issues v. The minister that charged with a duty in ministry of finance	A. Finance act B. Exchequer account C. BOT account D. Paymaster general E. Paul Makonda F. Value for money G. Mwigulu inchemba H. Controller and auditor general I. Appropriation act

Answer box

List A	(i)	(ii)	(iii)	(iv)	(v)
List B					

SECTION B (40 Marks)

Attempt **all** question in this section

3. For most businesses, control of cash includes both bank and cash transactions. Firm are required to bring together the separate cash and bank transactions in one book. Briefly describe four types of cash books which are used to record cash or bank transactions.

(i) ……
……
……

(ii) ……
……
……

(iii)……
……
……

(iv)……

……

……

4. State which account is to be debited and which is to be credited from the following chart: -

No	Transaction	Account to be debited	Account to be credited
(i)	Started business with capital at bank		
(ii)	Sold computer to John on time basis		
(iii)	Purchased motor van from Malisa		
(iv)	A debtor, Jumbe pay us by cheque		
(v)	Using a business motor car for non-business purpose		

5. The following cash book was completed for the month of January 2020:

DR CASH BOOK CR

Date	Details	TZS	Date	Details	TZS
2020:			2020:		
Jan 1	Balance b/d	48,900	Jan 7	G Taylor	32,000
13	K Gee	54,600	10	J Crouch	76,100
15	D Fish	43,200	22	M Lance	43,400
23	S Pole	7,600	31	Balance c/d	2,800
		154,300			**154,300**

However, it came to light shortly after completion that the following items have been omitted from the cash book:

	TZS
Interest paid	2,300
Credit transfer from M Sironga	43,200
Bank charges	4,500
Standing order: J Rowe	32,300
Dividends received	5,600

Required

Bring the cash book up to date with the above items.

6. The following expenditures were incurred by Mwanga Town Council for the year 2022/2023. You are required to fill the status column by stating whether each expenditure is development or recurrent in nature.

No.	Expenditures	Type of expenditure
i.	Paid 20 million shillings for vehicles' fuel of the council.	
ii.	Tshs 500 million for construction of Mwanga Bus Terminal.	
iii.	Tshs 100 million to accountants and other council's employees.	
iv.	Tshs 600 million for construction of COVID 19 quarantine at Mwanga Hospital.	
v.	Tshs 50 million to repaint office buildings.	

Section C (45 Marks)

Attempt **all** question in this section

7. Seypalm Wholesale sells fishing equipment. The company buys goods from a number of manufacturers of fishing equipment. Manufacturers offers trade discounts for larger orders.

   During June 2022 the following invoices were received:

JUNE	5	Purchases invoice received from Siprian & Co. Ltd for fishing equipment with a price of TZS 8,400,000. The invoice showed a deduction of a trade discount of 25%
	19	Purchases invoice received from Angelo Supplies Ltd for fishing equipment with a selling price of TZS 5,800,000. The invoice showed a deduction of a trade discount of 20%

Seypalm Wholesale sell fishing equipment to many retailers.

During June 2022 the following invoices were issued:

JUNE	8	Sales invoice sent to Owen & Sons. Ltd for fishing equipment with a price of TZS 12,000,000. The invoice showed a deduction of a trade discount of 15%
	23	Sales invoice sent to Jeru Fishing Supplies for fishing equipment with a price of TZS 18,300,000. The invoice showed a deduction of a trade discount of $33\frac{1}{3}\%$

Required; prepare the following accounting records in the books of Seypalm Wholesale:

(a) Purchases journal

(b) Sales journal

(c) Purchases ledger accounts

(d) Sales ledger accounts

(e) Appropriate general ledger accounts.

8. The financial year of Mjukuu & Family stores ends on 31st December annually. The following information has been extracted from the stores' accounting records for the year ending 31st December, 2022.

Details	TZS
Sales	9,780,000
Inventory on 1st January 2022	1,037,000
Rent	450,000
Purchases	8,500,000
Insurance	187,000
Heating expenses	160,000
Sales returns	1,200,000
Motor van expenses	584,000
Capital	10,079,000
Cash at bank	848,000
Rent income	954,000
Motor van	1,050,000
Loan from NBC	5,300,000
Drawings	1,416,600
Purchases returns	1,723,000

Accounts payable …… 1,975,000
Carriage inwards ……..723,000
Buildings ……8,200,000
Sundry expenses ……. 252,200
Fixtures and fittings ……..1,011,200
Salaries ……922,000
Carriage outwards ……453,000
Accounts receivable ……. 2,016,000
Cash in hand …….. 500,000
Inventory on 31st December, 2022 …….. 1,535,000

Use the information provided to prepare the store's income statement for the year ending 31st December 2022.

9. KALITO owns a hairdressing business which she opened on 1st April 2022. The business's statement of financial position on that date was as follows:

	TZS	TZS
NON-CURRENT ASSETS:		
Equipment		110,000
CURRENT ASSSETS:		
Trade receivables	29,000	
Bank	63,000	
Cash	8,000	100,000
		210,000
Capital		176,000
CURRENT LIABILITIES:		
Trade payables		34,000
		210,000

The following transactions occurred during the period 1st – 7th April 2022:

April	2	Purchased some additional equipment on credit for TZS 41,000
	3	Received TZS 2,000 cash from debtors.
	3	Received loan from bank by cheque TZS 90,000
	5	KALITO withdrew TZS 4,000 cash for private use.
	6	Sold some unwanted equipment, with a value of TZS 15,000 on credit.
		Paid creditors TZS 62,000 by cheque.
	7	

Required; Use the above information to prepare an updated statement of financial position after each transaction.



